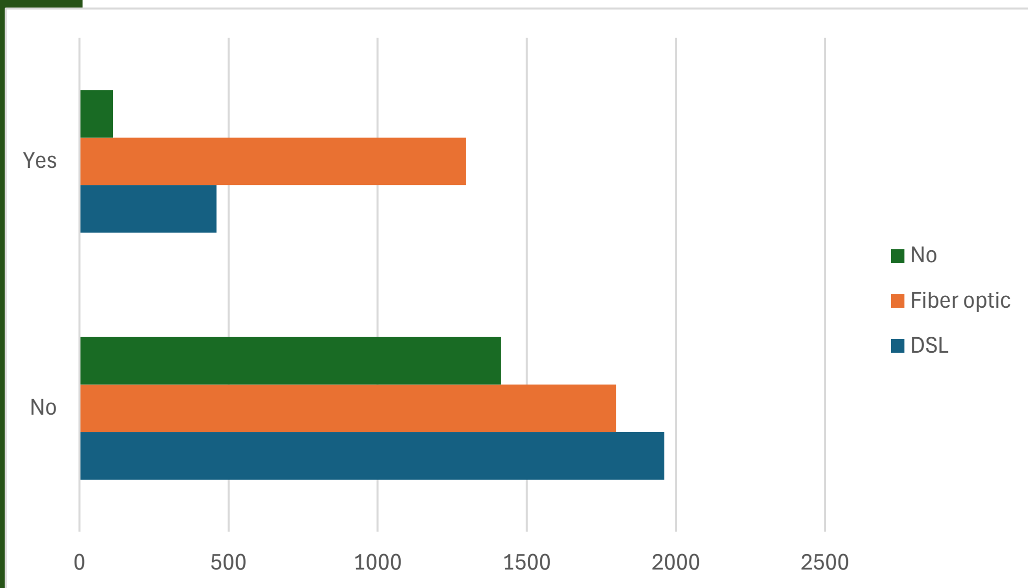
Customer Behaviour & Business Performance Analysis

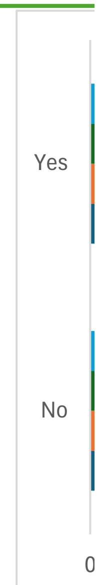
ABC Communications Ltd

A Customer Churn Analysis Report

Prepared by

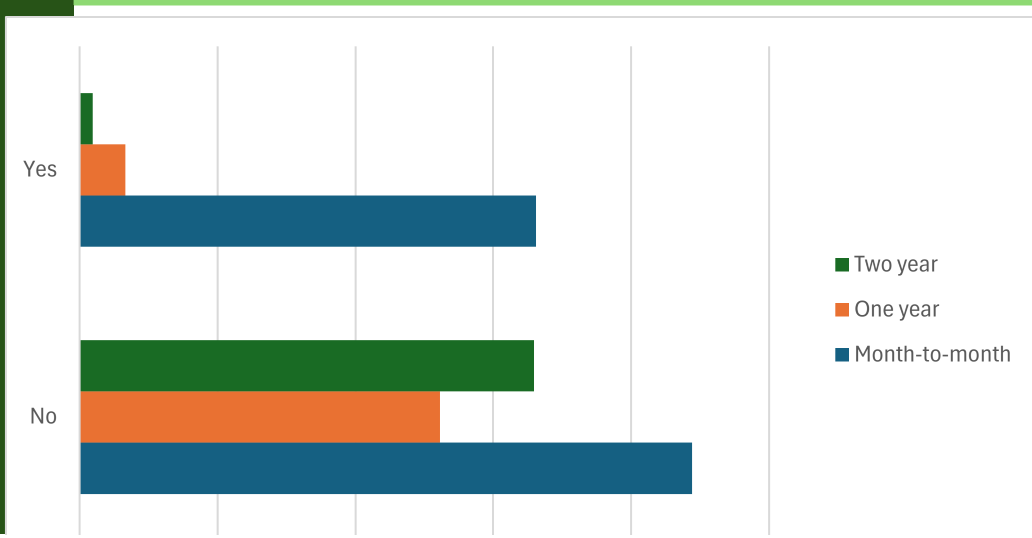
Adesola Sobambo

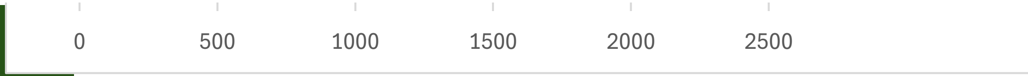




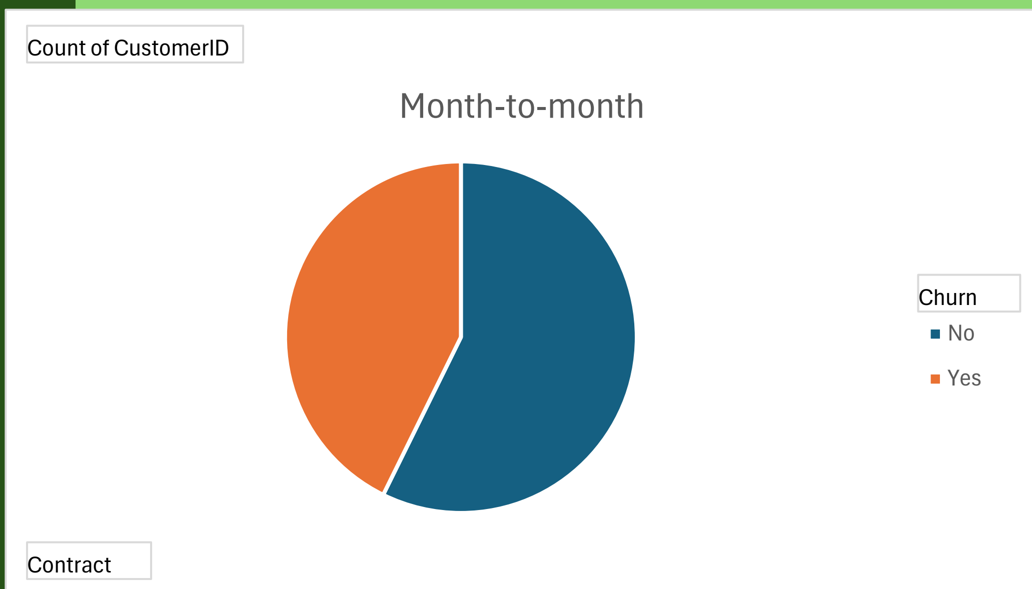
Fiber optic customers churn at 41.9%, more than double the rate of DSL customers (19.0%) and far higher than customers with no internet service (7.4%). Fiber optic appears to be a high-risk segment despite being a premium service.

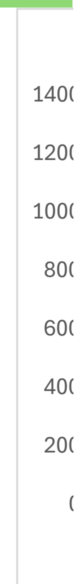
Custc
contra
card 1
strong





Customers on month-to-month contracts have a much higher churn rate (42.7%) compared to those on one-year (11.3%) and two-year contracts (2.8%). This shows that longer contract commitments are strongly linked to better customer retention





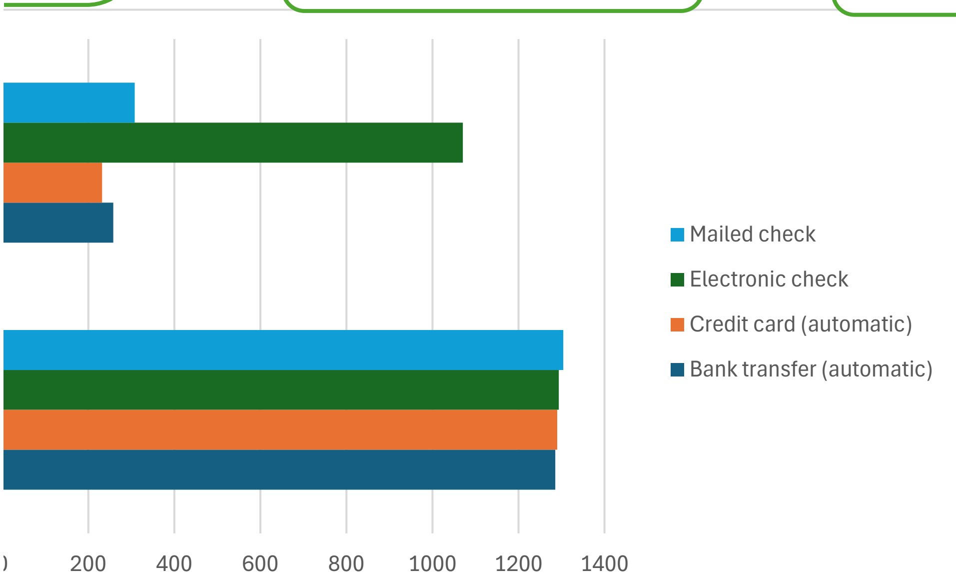
The majority of customers are on month-to-month contracts. Because this group also has the highest churn rate, a large portion of the customer base is currently in the highest-risk category.

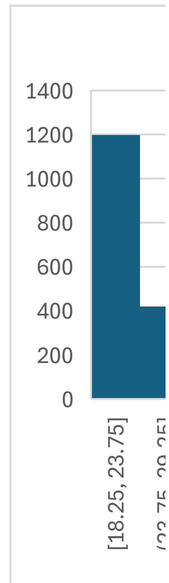
Total Customers
7,043

Churned Customers
1,869

Avg Tenure (Churned)
18 Months

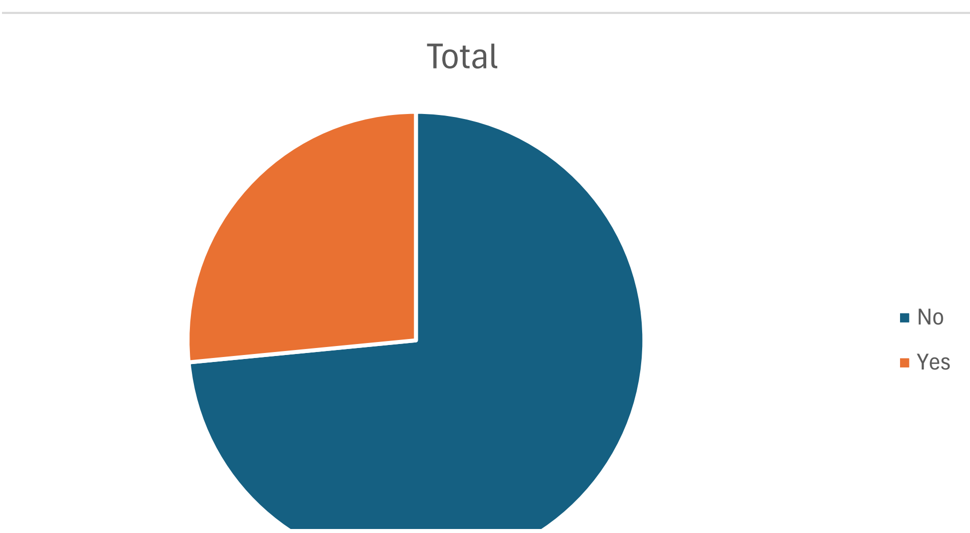
Avg Monthly Charges (Churned) ₦74.4

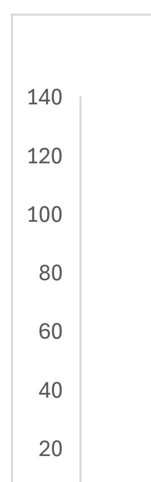




ɔmers who pay by electronic check have the highest churn rate at 45.3%. In ast, those using automatic payment methods (bank transfer 16.7% and credit 15.2%) show significantly lower churn. Automatic payments are associated with ger retention.

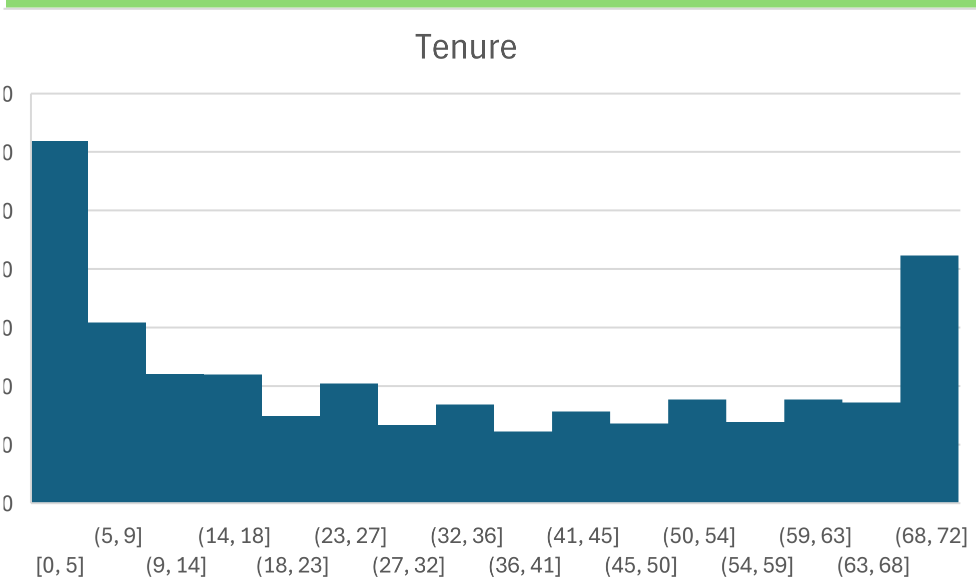
Monthly c
both lowe
with great





ut of 7,043 customers, 26.5% (1,869) have churned while 73.5% (5,174) have emained. This confirms that customer retention is a significant business hallenge for the company.

Churned cu
customers.
and may be



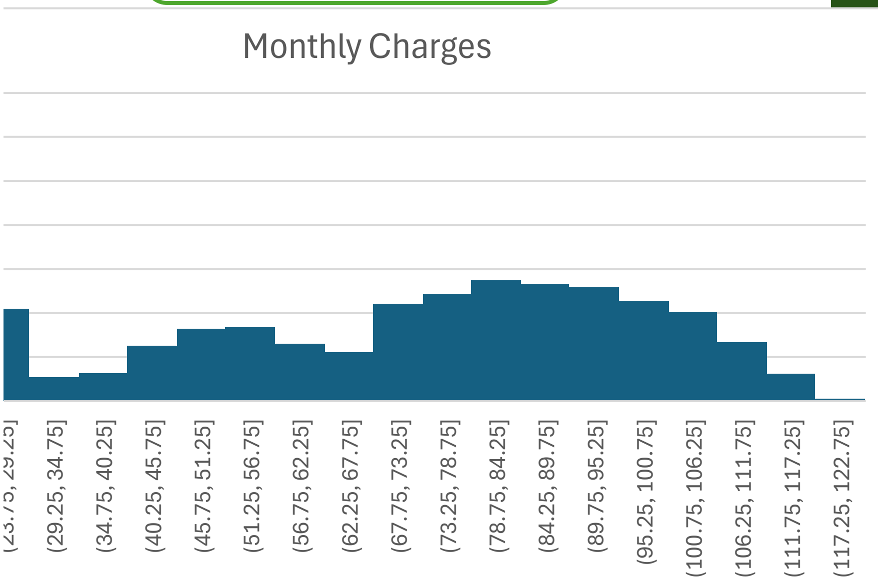
SeniorCitiz
Tenure
MonthlyCha
TotalCharg
ChurnFlag

The heatr
staying cu
relationsh
leaving. T

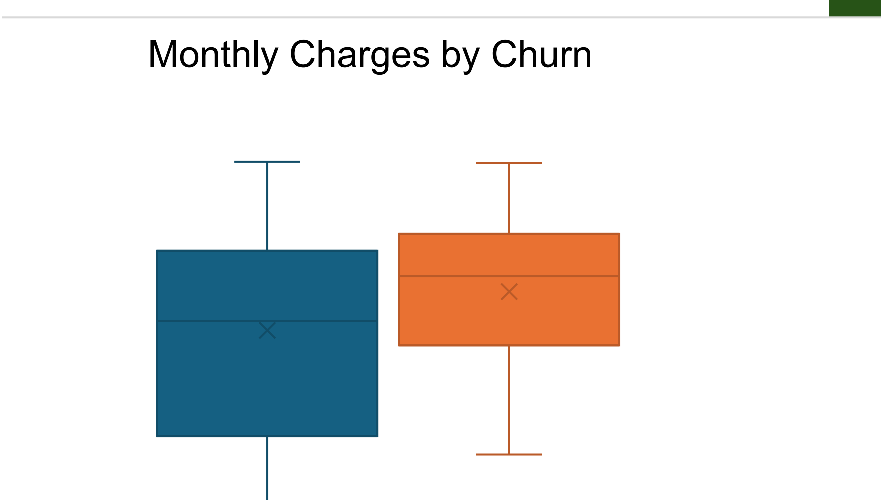
e tenure distribution is skewed toward shorter relationships, with a large number customers having low tenure. This supports the earlier finding that many ustomers leave within the first 12–24 months.

Churn Rate
26.5%

Retained Customers
5,174



:harges are spread across a wide range, with noticeable concentration in
:r and higher price bands. Higher monthly charges are generally associated
ter churn risk.



1

ıstomers tend to have higher median monthly charges than retained
. This suggests that higher-paying customers are not necessarily more loyal
ə more sensitive to price or service value.

SeniorCitiz	Tenure	MonthlyCh	TotalCharg	ChurnFlag
1				
0.016567	1			
0.220173	0.2479	1		
0.103006	0.826178	0.651174	1	
0.150889	-0.35223	0.193356	-0.19832	1

nap shows that Tenure has a negative relationship with Churn (longer-
ıstomers are less likely to leave). MonthlyCharges shows a positive
hip with Churn, meaning higher charges are linked to higher likelihood of
otalCharges is strongly related to Tenure, as expected


Monthly Charges by Churn
140
120
100
80
60
40
20
0
1